

Effective Tax Rates on the Egyptian Exchange

2021 – 2024

What ten listed companies actually paid, and why the headline rate tells you almost nothing

Michael Maher — 4 August 2026

Summary

Egypt's statutory corporate income tax rate is 22.5%. Across ten EGX-listed companies over four financial years — 38 company-years with a taxable profit, of which 37 carry a meaningful effective rate — the weighted average effective tax rate (ETR) was **20.4%**, or 2.1 percentage points below statutory.

That average conceals almost everything interesting. Individual companies ranged from **11.3% to 25.8%**, and the reasons for the spread have little to do with tax planning. They are mostly artefacts of accounting presentation: which entities are consolidated, whether income arrives already taxed, and how fair-value gains are recognised.

The central finding is methodological. **A headline effective tax rate is not comparable across companies without adjusting for reporting basis and income mix.** This report shows, company by company, where the naive figure misleads and what the underlying rate actually is.

Scope and method

Sample

Ten companies across six sectors, financial years 2021–2024:

Sector	Companies
Real Estate	Talaat Moustafa, Palm Hills, Emaar Misr
Food & Beverage	Juhayna, Edita
Chemicals	Abu Qir Fertilizers, Kima
Consumer	Eastern Tobacco
Telecom	Telecom Egypt
Textiles	Oriental Weavers

Banks, financial services, petroleum, USD reporters and investment holdings were excluded: their tax treatment is not comparable to ordinary trading companies.

Definitions

- **Effective tax rate** = income tax expense ÷ profit before tax, both as reported.

- **Cash tax rate** = current tax ÷ profit before tax. It strips out deferred tax and approximates what was actually payable.
- **ETR excluding associates** = income tax expense ÷ (profit before tax – share of associate profit). Equity-accounted associate profit is presented net of tax but sits above the tax line, so it inflates the denominator without adding to the numerator.

Sources

Every figure is taken from audited financial statements — the face of the income statement and the income tax note. Nothing is derived from press releases or databases. The same dataset is also delivered as an interactive Power BI report, built on a star schema over SQL Server views.

Controls

Each company-year passes three automated checks before it enters the analysis:

1. **Tax split** — current tax + deferred tax must equal income tax expense.
2. **Residual** — profit before tax – tax – net profit must fall within tolerance, allowing for associate profit and non-controlling interests.
3. **Reporting basis** — a company must use the same basis (separate or consolidated) across all its years.

The sample begins as 40 company-years (ten companies over four years). Two are set aside before any calculation: Palm Hills 2024, where the filing was unavailable, and Kima 2021, which was a pre-tax loss year. That leaves **38 company-years, all of which pass all three checks**.

One further exclusion applies to the **weighted averages only**: Kima 2024, where tax is a net credit on a profit. An effective rate is arithmetically computable there but not economically meaningful. That leaves **37 company-years in the weighted averages**. Kima's own rate therefore rests on two years rather than four. All excluded years remain visible in the underlying data and are flagged there, not deleted.

Treatment decisions

Two judgement calls were applied consistently:

- The **takaful** (solidarity) contribution is treated as an operating levy, not income tax, and excluded from the tax figure. It appears in Kima and Talaat Moustafa.
- Tax withheld on **treasury bill income** is included in income tax expense where the company discloses it within that total, as Abu Qir and Edita both do.

Results

By company

Company	Sector	Weighted ETR	Cash tax rate	Gap vs statutory
Talaat Moustafa	Real Estate	25.8%	20.0%	+3.3

Company	Sector	Weighted ETR	Cash tax rate	Gap vs statutory
Juhayna	Food & Bev	25.6%	24.1%	+3.1
Edita	Food & Bev	24.8%	22.6%	+2.3
Eastern Tobacco	Consumer	21.8%	21.4%	-0.7
Emaar Misr	Real Estate	21.6%	15.2%	-0.9
Palm Hills	Real Estate	21.1%	21.0%	-1.4
Abu Qir Fertilizers	Chemicals	21.0%	18.2%	-1.5
Kima	Chemicals	17.7%	0.0%	-4.8
Telecom Egypt	Telecom	14.2%	9.9%	-8.3
Oriental Weavers	Textiles	11.3%	13.8%	-11.2

By sector

Sector	Company-years	Weighted ETR	Gap vs statutory
Food & Beverage	8	25.2%	+2.7
Real Estate	11	23.2%	+0.7
Consumer	4	21.8%	-0.7
Chemicals	6	20.9%	-1.6
Telecom	4	14.2%	-8.3
Textiles	4	11.3%	-11.2
All companies	37	20.4%	-2.1

By year

Year	Company-years	Weighted ETR
2021	9	23.8%
2022	10	21.3%
2023	10	20.6%
2024	8	18.3%

The downward drift is discussed below; it is largely a currency-crisis artefact, not a fall in tax burden.

What drives the deviations

Telecom Egypt: the associate distortion

Telecom Egypt reports a headline ETR of **4.27%** in 2024 — a figure the company itself discloses in its tax reconciliation note. It is real, and it is almost meaningless.

The consolidated income statement shows share of profit of equity accounted investees, net of tax of **EGP 8,663m** against profit before tax of **EGP 10,562m**. Over 80% of pre-tax profit is associate income — principally the 45% stake in Vodafone Egypt — which arrives having already been taxed at the associate level. It swells the denominator and contributes nothing to the numerator.

Strip it out and the rate on genuinely taxable profit is approximately **24%** — slightly above statutory.

The four-year weighted ETR of 14.2% is subject to the same distortion. Telecom Egypt is not a low-tax company; it is a company whose profit largely arrives pre-taxed.

Abu Qir Fertilizers: income taxed outside the corporate base

Abu Qir's tax reconciliation (note 19/12, FY2022) is unusually explicit. Corporate tax of EGP 2,222m is charged on a tax base of EGP 9,878m — exactly 22.5%. But EGP 1,751m of non-taxable revenue is stripped from the base first: mainly treasury bill returns and dividends from Alexandria and Helwan Fertilizers. Those are taxed separately at source instead (EGP 205m on treasury bills, EGP 43m on dividends).

The company's own disclosed ETR is **21.73%**. The model reproduces that figure independently — a useful validation of the method.

So Abu Qir's sub-statutory rate is not a concession. It reflects a company earning a large share of profit from investment income taxed outside the corporate base. The four-year rate is remarkably stable at 21.0%.

Kima: deferred tax and carried-forward losses

Kima's rate is the most volatile in the sample: a pre-tax loss in 2021, then 10.1%, 21.4%, and a deferred tax credit in 2024 producing a negative rate.

The 2024 credit is genuine — net profit exceeds pre-tax profit — and plausibly reflects recognition of a deferred tax asset arising from the 2021 loss, though this has not been confirmed against a tax note. The 2021 loss year and the 2024 credit year are both excluded from Kima's weighted average, leaving a two-year rate of 17.7%. The exclusions are flagged in the data rather than hidden.

Kima's income statement presents its tax charge as deferred tax only, with no separate current tax line, so the cash tax rate computes to 0.0%. This is taken from the face of the statement; **it has not been corroborated against a tax note itemising current and deferred tax**, and should be read as a presentational observation rather than an established fact about cash tax paid.

Real estate: no sector story

Three real estate companies produced three different answers — 25.8%, 21.6%, 21.1%. There is no sector-wide pattern. Whatever drives Talaat Moustafa's higher rate is company-specific, not structural.

Talaat Moustafa's own 2024 illustrates the fragility of the headline figure. Its ETR fell from 33.4% to 20.5% while pre-tax profit more than tripled — because that year's profit included an **investment**

properties revaluation surplus of EGP 4,924m and a **gain on hotel acquisition of EGP 719m**. Non-taxable paper gains inflated pre-tax profit; the tax charge did not follow. The company did not become cheaper to tax.

Food and beverage: the one clear sector pattern

Juhayna (25.6%) and Edita (24.8%) both sit consistently above statutory across all eight company-years. This is the only sector in the sample where two companies point the same way with no obvious presentational cause.

Both are domestic manufacturers with straightforward accounts — no material associate income, no large revaluation gains. The excess over statutory most likely reflects non-deductible expenses. This is the closest thing in the data to a genuine sectoral tax burden rather than an accounting artefact.

Oriental Weavers: unexplained

At 11.3%, Oriental Weavers has the lowest rate in the sample — 11.2 points below statutory. Unlike Telecom Egypt, it cannot be explained by presentation: it is a textile manufacturer with no material associate income.

The likely candidates are tax holidays or investment incentives (Egypt grants these in designated industrial zones) or a large share of income taxed at source. **This has not been verified against the company's tax reconciliation note and remains the principal open item in the analysis.** It is stated here as a gap, not a conclusion.

The macroeconomic overlay

Any analysis of Egyptian financial statements across 2021–2024 has to confront the currency. Three devaluations fell inside the study period:

- **21 March 2022** — one month after the Russia–Ukraine war began, the Central Bank devalued the pound by 5%; by late October the dollar had risen from around LE19.5 to LE24.17, a further 14% loss.
- **January 2023** — the pound fell from LE24.63 to LE30.8 to the dollar, a 25% decline.
- **6 March 2024** — the Central Bank abandoned the defence of an official rate and moved to a supply-and-demand regime; within days the pound settled near LE50.1.

Across those two years the pound went from LE16 to LE50 against the dollar. Inflation followed: 5.2% in 2021, 13.9% in 2022, 33.9% in 2023, and 28.3% in 2024.

This matters for the analysis in three ways.

Growth figures are nominal. Revenue rising 45% in a year when inflation ran near 30% is not the same as real growth. All figures in this report are as-reported; none are deflated. Cross-year comparisons of levels should be read with that in mind. Ratios — including every effective tax rate here — are unaffected, since numerator and denominator inflate together.

The 2024 rate decline is partly an artefact. The sample-wide ETR falls from 23.8% in 2021 to 18.3% in 2024. A material part of that is fair-value revaluation: Talaat Moustafa, Emaar Misr and Telecom Egypt all recognised large non-taxable revaluation or FX-related gains in 2024, inflating pre-tax profit without a corresponding tax charge. The devaluation created the gains; the gains depressed the ratio.

Foreign exchange losses cut the other way. Telecom Egypt's 2024 results absorbed roughly EGP 4.9bn of non-recurring FX losses, and the company recognised a deferred tax asset against them. Abu Qir's FY2024 pre-tax profit held up despite falling revenue precisely because of EGP 6.7bn in foreign currency exchange gains.

In short: the currency crisis is visible in almost every line of this dataset, and it moves effective tax rates in both directions for reasons unconnected to tax policy.

Limitations

Stated plainly, because they bound what can be concluded:

- **Four years is a short series.** Two of them were dominated by currency shocks.
- **Sector samples are thin.** Telecom, textiles and consumer each rest on a single company. No sector-level claim should be made from one name.
- **Reporting basis differs across the sample.** Abu Qir and Kima file separate statements; the rest are consolidated. Bases are consistent within each company, but a separate-basis rate and a consolidated-basis rate are not strictly comparable across companies.
- **Figures are nominal.** No inflation adjustment has been applied.
- **Fiscal year-ends differ.** Abu Qir, Kima and Eastern Tobacco close 30 June; the other seven close 31 December. A "2024" row therefore does not cover the same economic period for every company — a material issue given that the March 2024 float falls inside a June year but at the start of a December one.
- **Cash tax rates are incomplete.** Several companies do not disclose a clean current/deferred split; where it was derived by subtraction, that is noted in the data.
- **Oriental Weavers' low rate is unexplained.** See above.

Conclusion

Egypt's statutory rate is 22.5%. The sample average is 20.4%. Those two numbers, side by side, suggest a modest degree of tax relief across listed corporates — and that reading would be wrong in almost every particular.

Of the ten companies, the two furthest below statutory are there for opposite reasons: Telecom Egypt because most of its profit arrives already taxed elsewhere, Oriental Weavers for reasons not yet established. The company furthest above statutory, Talaat Moustafa, saw its own rate collapse by 13 points in a single year on the strength of a property revaluation. The one clean sectoral pattern — food

and beverage paying consistently above statutory — is the least dramatic finding in the report and probably the most reliable.

The practical conclusion for anyone using effective tax rates as a screening metric: **the headline figure requires adjustment before it means anything.** At minimum, strip out equity-accounted associate profit, identify income taxed at source, and check whether the year contains material fair-value gains. Without those adjustments, an ETR comparison across companies measures accounting presentation more than it measures tax.

Data: audited financial statements, FY2021–FY2024. Ten companies, 38 company-years reconciled against reported net profit; 37 in the weighted averages.